A PERSONAL BUDGET

There are many ways in which household spending can be curtailed in the pursuit of wealth—even the smallest changes can be significant when continued year after year because any reduction in spending can be invested in savings. Setting and sticking to a budget will help meet savings goals. Other savings strategies include:

- **Setting financial goals**, such as buying a house or funding a masters' degree.
- **Drawing up a spending plan** for expenditures such as housing, food, transportation, and debt repayments.
- **Monitoring budgets** weekly or monthly to keep track of spending.
- **Deciding on a percentage** of income to save each month, and setting up a direct debit for that amount to go straight into a savings account.
- **Finding cheaper accommodation**, or refinancing a mortgage to achieve a cheaper rate.
- **Comparing insurance rates** and switching to a cheaper insurer; comparing deals from different energy suppliers to cut utility bills.
- **Shopping with a list** to eliminate impulse buys, and buying in bulk in order to take advantage of cheaper prices or sales.

Attitude to debt

Because credit is easily available to high earners, **A** gets deep into debt.

Investment

Because her income is high, **A** doesn't feel the need to save for retirement.

Retirement

Upon retirement, **A** sees a dramatic drop in income. Having no wealth to rely on, she spends her retirement in poverty.

B ensures that her outgoings are always lower than her incomings.

B uses some of her savings to invest in a house.

B enjoys comfortable retirement years.